

SOP-002: Intellectual Property and Confidentiality Review

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Owner: Example Corp — Legal Department

Classification: Internal Use Only

1. PURPOSE

This SOP defines Example Corp’s mandatory requirements for intellectual property ownership, licensing, and confidentiality protections in all partner contracts. Deviations from these standards constitute review findings.

2. INTELLECTUAL PROPERTY OWNERSHIP

2.1 Work Product Ownership (Non-Negotiable)

- All deliverables created specifically for Example Corp must be owned by **Example Corp**
- “Work made for hire” language must be present for custom deliverables
- Assignment clauses must cover all work product, including derivative works

2.2 Pre-Existing IP

- Provider may retain ownership of pre-existing tools and methodologies
- Pre-existing IP must be explicitly listed in a schedule/exhibit
- Example Corp must receive a **perpetual, irrevocable, royalty-free license** to any pre-existing IP incorporated into deliverables

2.3 Prohibited IP Terms — Flag as CRITICAL

- Provider retains ownership of custom deliverables created for Example Corp
 - Revocable licenses to deliverables
 - Licenses conditioned on ongoing payments after contract completion
 - Restrictions on Example Corp modifying or building upon delivered work
 - Provider rights to reuse Example Corp-specific work product for other clients
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3. LICENSE REQUIREMENTS

3.1 Minimum License Terms for Example Corp

If any component is licensed rather than assigned: - **Perpetual** (survives termination) - **Irrevocable** (cannot be withdrawn) - **Worldwide** (no geographic restriction) - **Royalty-free** after contract payments complete - **Sublicensable** to Example Corp subsidiaries and affiliates - Right to modify and create derivative works

3.2 License Red Flags

Flag the following as HIGH severity: - “Non-transferable” licenses for core deliverables - Time-limited licenses - Revocable at provider’s discretion - “Internal use only” restrictions on paid deliverables - Licenses tied to ongoing subscription/maintenance fees

4. CONFIDENTIALITY REQUIREMENTS

4.1 Survival Period (Mandatory Minimums)

- **Trade secrets:** Indefinite / as long as information qualifies
- **Business/financial information:** Minimum **5 years** post-termination
- **Technical information:** Minimum **3 years** post-termination
- General confidentiality clause: Minimum **3 years**

4.2 Confidentiality Protections Required

All contracts must include: - Clear definition of what constitutes Confidential Information - Restriction to “need to know” basis - Written consent required before sharing with any third party including subcontractors - Return or destruction of confidential materials upon termination - Notification obligation if disclosure is legally compelled

4.3 Prohibited Confidentiality Terms — Flag as HIGH

- Survival period less than 3 years
 - Permission to share with subcontractors without written consent
 - No return/destruction obligation
 - Overly broad exclusions that gut the protections
 - Unilateral definition of what is “not confidential”
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5. NON-COMPETE AND NON-SOLICIT

5.1 Acceptable Terms

- Non-solicitation of employees: Maximum 12 months post-termination
- Non-compete (if any): Must be narrowly scoped to specific project domain
- Geographic restrictions must be reasonable

5.2 Flag for Review

- Non-compete exceeding 12 months
 - Overly broad non-compete covering all Example Corp business areas
 - Non-solicit without reciprocal obligations
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6. SEVERITY CLASSIFICATION

- **CRITICAL:** Provider owns deliverables Example Corp paid for; revocable licenses
 - **HIGH:** Confidentiality survival under 3 years; third-party sharing without consent
 - **MEDIUM:** Missing non-solicit clause; license scope ambiguities
 - **LOW:** Formatting issues in IP schedules
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7. AGENT REVIEW INSTRUCTIONS

When reviewing IP and confidentiality terms: 1. Identify who owns custom deliverables — must be Example Corp 2. Check license type (perpetual, irrevocable, etc.) 3. Verify confidentiality survival period meets minimums 4. Confirm third-party sharing requires written consent 5. Check for return/destruction obligations 6. Flag any revocable or time-limited licenses as CRITICAL 7. Generate findings with clause reference and corrective language